21CS029 - DIGITAL MARKETING

UNIT I & LP 1 - INTRODUCTION TO ONLINE MARKET

1 Online Market space

Definition

- The market space in marketing is defined as a virtual market place in the commercial world, where the limitations of physical boundaries are not applicable.
- It is an integration of numerous areas that are considered market places via technology or via an exchange environment that is operated by electronic information.

Meaning of market space

- The market space is considered a bi-directional unit as both the buyers and sellers can buy and sell through transactions in such portals.
- Notable examples of market space are micro-blogging sites, e-commerce platforms, etc. like twitter, ebay.com, quicker.com, Myntra, Etsy, Alibaba, Amazon.com, etc.
- Electronic transactions are used for the distribution of goods and services in the marker space.

Characteristics of Market Space

The characteristics of market space are as follows:

- The transactions that take place in the market space occurs via online media or internet.
- There is no face-to-face transaction as the electronic media does not offer any such option.
- An interested party can find information in the market space about the available products and not anything about the products.
- There are no actual showrooms or physical stores. These are replaced by the internet and computers that enable the option of buying.

Components of Market Space

- Buyers
- Sellers
- Intermediaries
- Other business partners
- Products
- Back end
- Infrastructure
- Front end
- Support services

Objectives of market space

The goals of market space are as follows:

- Establishing brand awareness through the market space
- Selling a product or a service in the market space
- Providing product support
- Offering customer service via the market space

Advantages of market space

The advantages of market space are as follows:

- The market space is already an established market, and there is no need to create demand.
- Selling on the market space is at a much faster pace because as soon as uploading starts, the buyers start going through and buying the products and services.
- The cost of products in market space is very less compared with the value of products in physical stores as the sites can save additional expenses like stocking costs, maintenance of physical stores and transportation costs.
- An essential advantage of market space is that it is convenient for the consumers as they do not have to travel from one market place to another in search of the products they require.
- A market space does not need rent nor does it require the physical presence of the employees.
- Shopping at market space is very easy with a single click of the mouse.

- As the internet is available almost everywhere, there is no such problem as inaccessible.
- A market space has an established customer support network that offers help when required regarding the products and services and that too around the clock 24*7.
- A market space has its payment escrow services. This helps the customer to make payments with ease without worrying about the misuse of large transactions.
- It is possible to see the acceptability of a product by going through the reviews.
- The market space has already gained the trust of its audiences and once a product or service is uploaded it gains benefit from the already established trust factor of the market space.
- Marketspace can attract high traffic that includes millions of customers.
- Marketspace is one of the quickest ways to expand online profile and footprint.
- The seller has to pay a commission to use the market space.

Disadvantages of market space

The disadvantages of market space are as follows:

- The downside of market space is that there is no possibility of trying the product. One has to look at the specifications and posted information and assume the suitability of the product.
- In market space, a buyer will not be able to take the help of employees who acts as a guiding force.
- The market space cannot boast of any direct communication between the buyer and the seller.
- As the customer base is shared with several sellers, the market space losses the opportunity of upselling and cross-selling the products.
- The market space is a product-focussed market and not seller-focussed.
- There is no customer loyalty in market space because they are not regular visitors. They are random visitors who like things and then buys as there are several options available to them.
- The competition level in the market space is anytime higher than found in other market places.
- Market spaces are known for offering various discounts and incentives to lure in the customers. Even if the sales volumes increase the profit margins do not appear at the same rate.

Concepts of online market space or discuss the basic concepts of digital marketing

Digital Marketing: Meaning, Scope and Importance

Digital marketing encompasses all marketing efforts that use an electronic device or the internet. Businesses leverage digital channels such as search engines, social media, email, and their websites to connect with current and prospective customers.

Marketing has always been about connecting with your audience in the right place and at the right time. Today, that means you need to meet them where they are already spending time: on the internet.

Enter digital marketing — in other words, any form of marketing that exists online.

Digital marketing is defined by the use of numerous digital tactics and channels to connect with customers where they spend much of their time: online. From the website itself to a business's online branding assets — digital advertising, email marketing, online brochures, and beyond — there's a spectrum of tactics that fall under the umbrella of "digital marketing."

The best digital marketers have a clear picture of how each digital marketing campaign supports their overarching goals. And depending on the goals of their marketing strategy, marketers can support a larger campaign through the free and paid channels at their disposal.

A content marketer, for example, can create a series of blog posts that serve to generate leads from a new eBook the business recently created. The company's social media marketer might then help promote these blog posts through paid and organic posts on the business's social media accounts. Perhaps the email marketer creates an email campaign to send those who download the eBook more information on the company.

Scope and Importance

Digital Marketing industry is booming not just in India but all parts of the world. The year 2016 took the industry by surprise with over 1.5 lakh job opportunities in the Digital Marketing domain. Well, the following was a bigger surprise when only the first quarter of 2017 marked for 8 lakh job opportunities.

The surveys conducted by several forums have predicted this number to grow with Digitalization in the nation. Our Prime Minister has been actively promoting the idea of Digital India. PM Modi's digital India campaign gained massive popularity. The initiative of Government of India is aimed at providing easy services to its natives.

Now imagine when a nation's government is promoting the digital interaction, what do you think will be the Digital Marketing scope in that nation.

1. As a tool for communication
   A. Digital marketing gives fair opportunities to all kinds of businesses
   B. Digital Spending Up
   C. The power of smart phone as game changer
   D. Consumer attention and online dominance
   E. Data Explosion
   F. Bright Future

2. As a career in marketing
   A. Digital marketing manager
   B. Content writers
   C. Content marketing managers
   D. Inbound marketing manager
   E. Social media marketing expert
   F. SEO executive
   G. Conversion rate optimizer
   H. Copywriter
   I. E-mail marketer
   J. Web analytics executive

Importance of Digital marketing

1. Provides equal opportunity for all kinds of businesses
2. More cost effective than traditional marketing
3. Delivers better conversion
4. Helps to generate better revenues
5. Facilitates interaction with targeted audiences
6. Caters the mobile consumers

7. Builds brand reputation
8. Influence customers to take favorable action via CTA

Types of Digital marketing

1. SEM (Search engine marketing)
2. SEO (Search engine optimization)
3. PPC (Pay Per click)
4. Content marketing
5. Email-marketing
6. Social media marketing
7. Affiliate marketing

Market place online marketing

Market Place: The market place for an organization includes interaction between all the elements of the micro-environment. There are five forces which impact organization in the marketplace. The impact of internet on the five forces is as follows:

Refer the below figure.

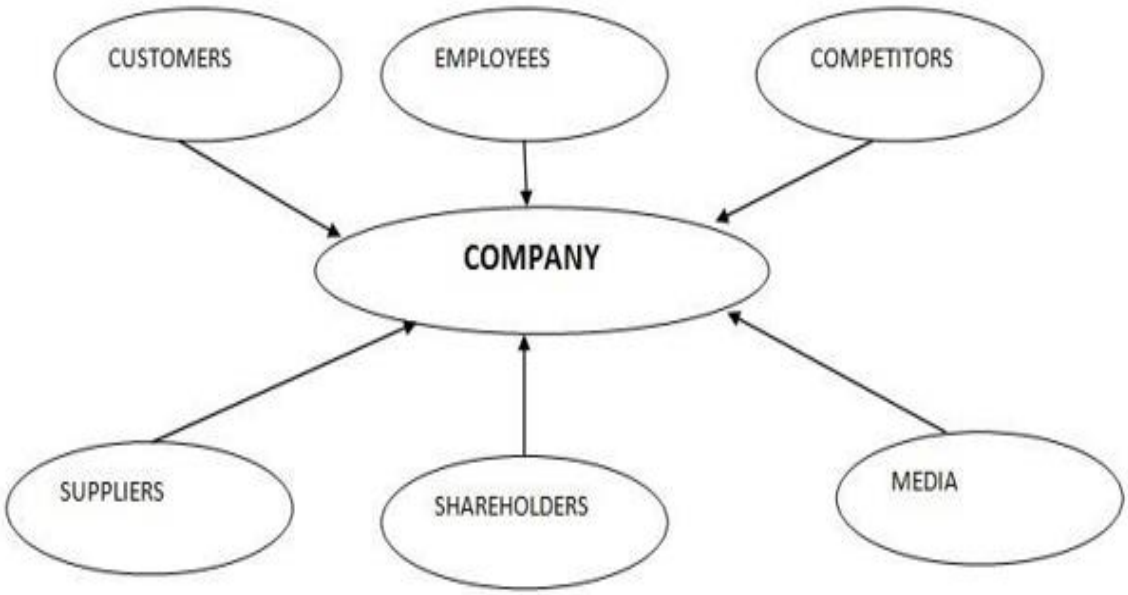

Fig: Market place of company

Bargaining Power of Customers: with the advent of the internet, customers have wider choices of products than before. The increase in competition has reduced the price level as customer demand more transparency in operations. Thus, the bargaining power of customers has increased.

Bargaining Power of Suppliers: again, with wider choice due to the internet. The bargaining power of the supplier has gone down.

Threats of substitute: the internet has enabled quicker introduction of products and services. The organization must carefully observe the introduction of substitute in the market as to avoid losing market share.

Barriers to entry: the internet has substantially reduced establishment costs, especially in the services industry. Therefore, organization has to carefully observe the movement of the new entrants in the market.

Competition: the internet has started the trend of faster commoditization of products. Thus, companies need to find new ways through which it can differentiate itself from competition.